CHAPTER 8: THE OUTSIDERS: THE BEST CEOS

MANY PEOPLE THINK OF JACK WELCH AS A GREAT CEO. According to *The Outsiders: Eight Unconventional CEOs and Their Radically Rational Blueprint for Success*, by William Thorndike, if you had invested a dollar with GE when Welch took the helm in 1981, you'd have had $48 when he handed it over to Jeffrey Immelt in 2001. That's a compound return of 20.9 percent, while the overall market delivered 14 percent. GE's total return was 3.3 times that of the market.

That's a pretty darn good record. (I leave aside questions about what happened after he left.) Thorndike uses Welch as a benchmark for great CEO performance. Was Welch the best CEO ever?

Not even close.

Let's look at Thorndike's book, which is an important study of how great CEOs create value. I highly recommend it. The book will make you a better investor. And it serves as a handbook for exactly the kind of thing I spend so much time looking for: truly great owner-operators. Finally, but just as importantly, the quest for the next 100-bagger logically begins with a study of the wizards who have already done it.

Thorndike profiles eight CEOs. Four of their stocks became 100baggers under their watch. These CEOs include Henry Singleton at Teledyne 180-bagger), Tom Murphy at Capital Cities (204-bagger) and John Malone at TCI (900-bagger). Oh, and Warren Buffett.

There are also four who don't quite make the cut of being a 100-bagger, such as Katharine Graham at the *Washington Post* (89-bagger) and Bill Stiritz at Ralston Purina (52-bagger). But we won't be too doctrinaire about this. With Stiritz, that 52-bagger took just 19 years.